

Watching the Watchdogs: The Information Asymmetry of SEC Interactions

William Gerken¹, Steven Irlbeck², Marcus Painter³, Guangli Zhang³

¹University of Kentucky ²University of New Hampshire ³Saint Louis University

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“Since financial malfeasance is often hidden within the most complex and opaque areas of finance, thoughtful analysis and innovative data collection are often central to good forensic research.” –Griffin and Kruger (2024)

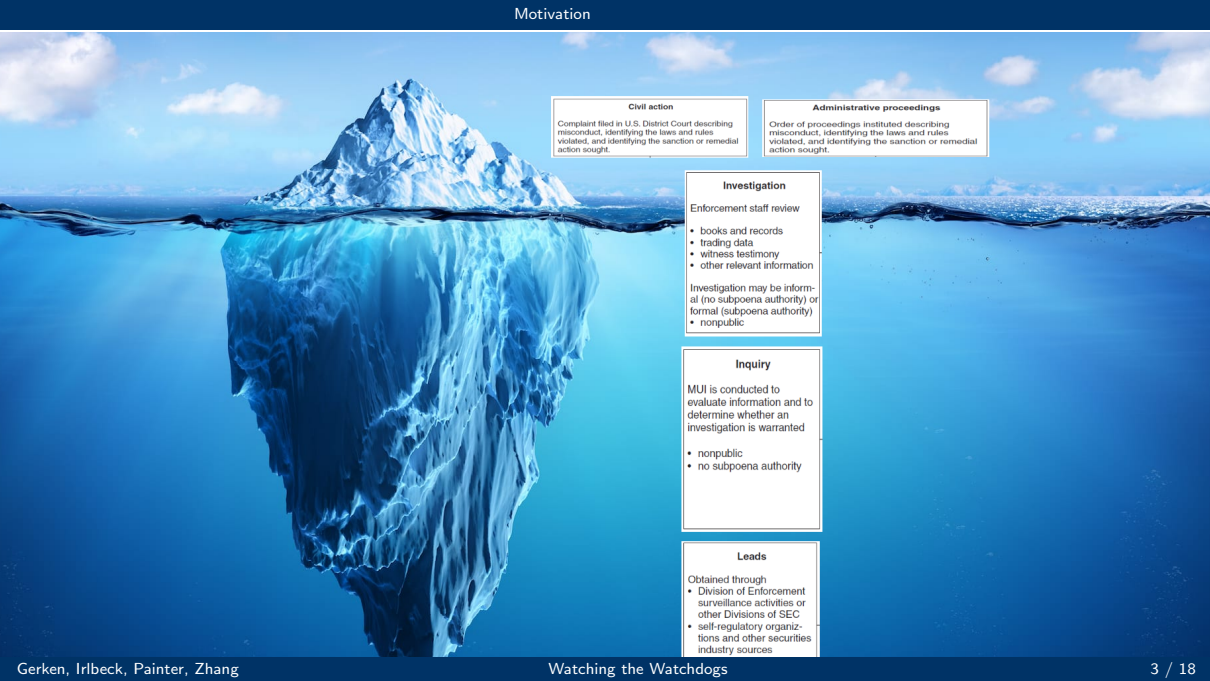
The SEC investigates firms confidentially: preliminary inquiries, document reviews, and on-site interactions.

- ~50% of Matters Under Inquiry close without formal investigation (SEC, 2011)
- Pre-2011: all MUI records destroyed at closure
“I received approval to close a MUI last week and I shredded the documents and deleted e-mails yesterday (Monday). Is that a problem?” –SEC Enforcement staff attorney, July 2010
- 81% of formal investigations are initially undisclosed; 2-year average lag before public disclosure (Blackburne et al., 2021)

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Civil action

Complaint filed in U.S. District Court describing misconduct, identifying the laws and rules violated, and identifying the sanction or remedial action sought.

Administrative proceedings

Order of proceedings instituted describing misconduct, identifying the laws and rules violated, and identifying the sanction or remedial action sought.

Investigation

Enforcement staff review

- books and records
- trading data
- witness testimony
- other relevant information

Investigation may be informal (no subpoena authority) or formal (subpoena authority)

- nonpublic

Inquiry

MUI is conducted to evaluate information and to determine whether an investigation is warranted

- nonpublic
- no subpoena authority

Leads

Obtained through

- Division of Enforcement surveillance activities or other Divisions of SEC
- self-regulatory organizations and other securities industry sources

Confidentiality by Design, Asymmetry by Consequence

The opacity is intentional and serves legitimate purposes but also creates trade-offs. Insiders observe SEC contact (by definition), while outsiders do not.

Benefits

- “preserve[s] the integrity of [the] investigative process”
- “protect[s] persons against whom unfounded charges may be made”

–SEC, *Filing Guidance and Confidentiality*

Costs

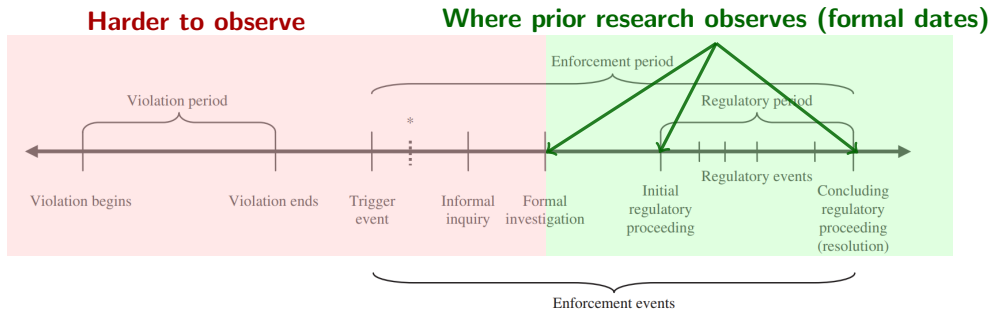
- creates information asymmetry between insiders and outside investors (Acharya and Johnson, 2007)
- forces insiders to disclose-or-abstain: reveal what they know or stop trading

Question: Do insiders trade on private information about confidential SEC oversight?
Challenge: Regulatory contact is largely invisible to investors (and to researchers).

Visible and Hidden Stages of SEC Oversight

Outsiders observe only what the SEC discloses, often years after regulatory contact begins. Many cases close without ever becoming public.

Figure: Karpoff et al. (2008)



“Even for cases that are made public eventually, identifying the date(s)... is difficult.” –Rajgopal and White (2017)

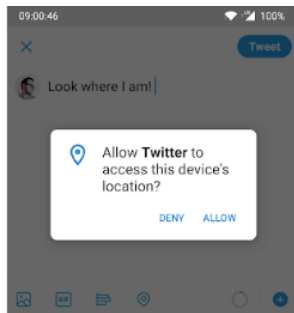
If Only We Could Tag and Track SEC and Observe Their Interactions

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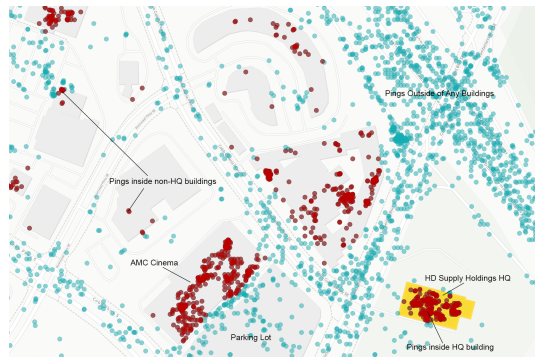
But individuals already opt in to something close, every day on their phones.



Smartphone Geolocation Data

LOTS of de-identified pings from opt-in mobile apps, captured while the app runs in the foreground or background.

- Coverage: 26 major MSAs, January 2019 – February 2020
- ~10% of all devices captured daily (Chen and Pope, 2020)
- 600k+ Building polygons (not centroid radii): pings must fall inside verified shapefiles
- Lat/long stored to 6+ decimal places (11cm) but other noise



Pings inside building polygons (red) vs. outside (blue)

We only observe aggregate movement patterns; we never study individuals.

Identifying Firm-SEC Interactions

We identify Firm HQs from 2019 10-X header (and check for moves) and SEC office addresses from archived sec.gov website.

We classify each device-month to a single building (firm HQ or SEC office) only if all three conditions hold:

- 1 ≥ 20 workday hours inside the building per month
- 2 Cumulative time inside this building exceeds time in any other building that month
- 3 Building is the device's modal work location across all observed months

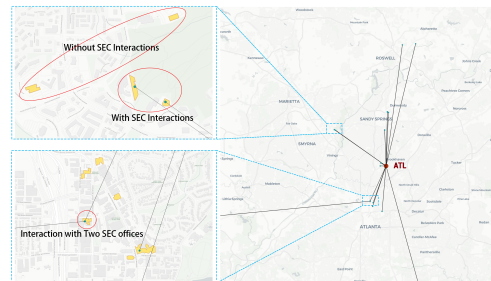
Cross-location requirement: the device must also visit a building of the other type (firm $\leftrightarrow$ SEC) located ≥ 1 km away.



Building heights = cumulative work hours

Firm-SEC Interactions: Sample Overview

- Sample: 2,367 firms matched to CRSP/Compustat, 642K firm-days (Jan 2019 – Feb 2020)
- 526 firms (~22%) experience at least one Firm-SEC Interaction
- Conditional on interaction: average firm has 4 interaction-days; 57% have multiple
- 17.7% of interactions are cross-regional
- Over half of interactions occur at firms without an active formal investigation
- Firms with multiple interactions are 2 $\times$ more likely to face enforcement actions (validates the measure)
- Financial firms such as RIA/BDs (regulated entities) are 5 $\times$ more likely to interact



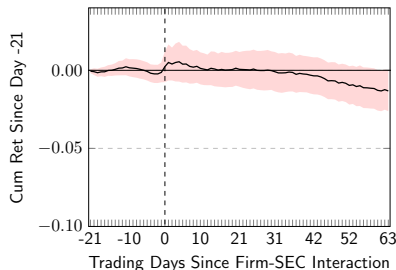
Visit flows: firm HQs and multiple SEC offices, Atlanta MSA, one month

Materiality: Stock Prices Decline After Firm-SEC Interactions

Do physical interactions, most of them unobserved, also move prices?

$$Abn\ Ret_{i,-21\ to\ t} = \beta_1 \text{ Firm-SEC Interaction}_{i,0} + \sum_k \beta_k \text{ Firm controls}_{i,q} + \gamma' FE + \varepsilon$$

Controls: size, leverage, M/B, turnover, distance to nearest SEC office. Firm + Date FE.

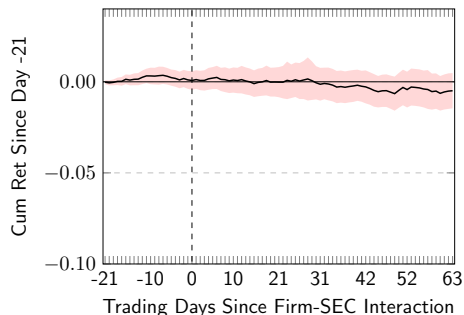


Full Sample (all firms)

$\beta_1 = -0.014^{***}$ at 3 months

Modest effect when averaged across all firms, which includes those regularly examined.

Materiality: Regulated Entities (Subject to Routine Examinations)

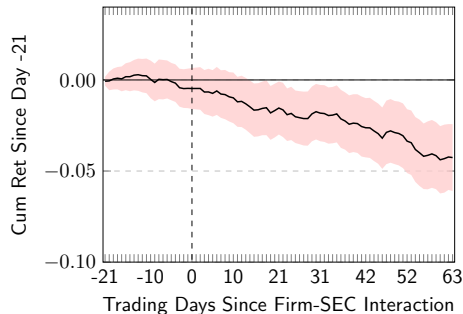


Financial firms such as RIAs and BDs, subject to routine examinations

$\beta_1 = -0.005$ (n.s.) at 3 months
(s.e. 0.005; $N \approx 154,000$ firm-days)

Routinely examined firms show no comparable effect, ruling out a generic regulatory-presence effect.

Materiality: Reporting Companies



Reporting Companies (i.e. excluding regulated entities)

$$\beta_1 = -0.039^{***} \text{ at 3 months}$$

Flat pre-trends through day 0 help rule out anticipation; effect emerges after the interaction and grows monotonically. Nearly 3 $\times$ the full-sample effect.

Material Both Inside and Outside of Formal Investigations

Blackburne et al. (2021) study effects starting at formal investigation openings. Over half of our interactions occur outside that window. Are those also material?

$$Abn\ Ret_{i,-21\ to\ t} = \beta_1 Interaction + \beta_2 Active\ Inv. + \beta_3 \textbf{Interaction} \times \textbf{Active Inv.} + \dots$$

Without formal investigation

$\beta_1 = -0.033^{***}$ at 3 months

→ Asymmetry is not confined to formal proceedings.

With active investigation

Additional $\beta_3 = -0.056^{**}$ (combined effect $\approx -8.9\%$)

→ Formal investigations amplify but do not explain the effect.

In a small (20) subsample of firms with formal investigation start within sample, 70% of these firms had at least one interaction before the formal opening date (57% of interactions); those early interactions show -5.7% at 3 months.

Insiders Reduce Selling Around Interactions

Insiders reduce trading when prosecution risk is high (Kacperczyk and Pagnotta, 2024). SEC interactions represent precisely such a moment.

Insider trading in ± 5 trading days around interaction (Reporting Companies):

	<i>Ins Trade</i> _{-5,+5} (1)	# <i>Ins Trade</i> _{-5,+5} (2)	<i>Ins Sell</i> _{-5,+5} (3)	# <i>Ins Sell</i> _{-5,+5} (4)
Firm-SEC Interaction	-0.0165 (0.0186)	-0.3190*** (0.0971)	-0.0410*** (0.0154)	-0.3759*** (0.1114)
Controls	Yes	Yes	Yes	Yes
Date FE	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes
R^2	0.093	0.094	0.125	0.148
Observations	415,462	415,462	415,462	415,462

Key Insight

Selling falls -23.4% . Overall, a chilling effect.

But ... the Insiders Who Sell: Opportunistic Traders Avoid Losses

Do those who sell around interactions profit? Cohen et al. (2012) split insiders by trading pattern: opportunistic trades predict future returns; routine trades do not.

Sells around interaction	Abn Return at 3 months
All insiders	-0.063***
Opportunistic traders	-0.122***
Routine traders	-0.003

Median sale around an interaction: \$556K, nearly 2× the median.

Key Insight

Some insiders act. Loss avoidance concentrates in informed (opportunistic) traders.
Routine-trader null rules out generic trends.

Not the Building, Not the City

SEC offices sit in busy multi-tenant high-rises in a few major MSAs. Could our pings capture other-tenant traffic?

Synthetic placebo buildings: For each SEC office, match 5 nearby non-SEC buildings (500–1,000m away) on POI count and industry composition. Treat each as the SEC and rerun. No abnormal returns.

Standalone HQs: Restrict to firms in standalone buildings (no co-tenant ambiguity).

Drop DC or NYC: Results persist.



Chicago: SEC office (yellow) vs. matched placebo buildings

Effect is SEC-specific, not driven by building characteristics, multi-tenant occupancy, or geographic concentration.

Extended Analysis

News sentiment

Control for Bloomberg news; results persist. Information extends beyond public news.

8-K disclosures

After interactions, firms file 8-Ks more often (+0.9 pp) and faster (−0.28 days). One observable channel through which the asymmetry resolves.

Mechanical overlap

Exclude restatements, insider-trade days, and opportunistic-trade days. Core results hold.

Conclusion

- Smartphone geolocation extends forensic-finance methods into the SEC's pre-public process, revealing contact at every enforcement stage.
- Around Firm-SEC interactions, Reporting Companies experience -3.9% abnormal returns over three months; financial firms (routinely examined) show no comparable effect.
- Insiders reduce selling by 23.4% around interactions; those who do sell concentrate losses among opportunistic traders (-12.2% abnormal return at 3 months).
- Bundle of patterns (flat pre-trends, opportunistic-only profits, financial-firm placebo, synthetic-building placebo) is difficult to reconcile with confounding.
- Confidentiality protects investigation integrity but creates sustained information advantages for insiders.